



Executive Summary

The purpose of this document is to assess and decide on the approval or rejection of the proposed 2024 CPFR deliverables. We are seeking to integrate all operational vendor-facing data under 1 roof within CPFR, removing silos and building scalable connectivity for data sharing and reporting. The reporting framework outlined in this document will unlock company-wide expansion, visibility and accessibility to all data sent, and the integration of SOPs and use cases for planners to leverage. To unlock the below deliverables, CPFR will need a Business Intelligence Engineer (BIE). As Chewy continues to drive automation and integrate responsibilities, we believe these changes will streamline communication with vendors and lay the groundwork for scalable self-service tools for both internal and external users in the future.

Current-State

In 2023, CPFR underwent advancements, setting the stage for its vision in 2024/25. We launched on the long-term platforms VDS Premium and initiated two VDS Direct feeds for inventory and forecast, covering six vendors. Additionally, we are scoped to launch on VPP in 24/25. We've implemented an ongoing leadership steering committee to ensure new data is reviewed before releasing. The released data facilitated collaboration with vendors, enabling the establishment of processes for forecast reconciliation, weekly business reporting, NOP exceptions, ASBO impacts, vendor dashboards and catalog reconciliation. This collaboration organically segmented vendors into three tiers based on shared data, processes, and engagement levels, providing a framework for future leveraging.

Lessons Learned

The following insights have shaped the future of the CPFR program and its deliverables.

- The CPFR program currently includes three tiers of data sharing and encompasses 1,400 vendors, driven by the expansion of CPFR reports from two to eight (see Appendix 1.1 for details). As CPFR continues to introduce new reports, we need a company-wide framework to classify vendors into the appropriate sharing Tier. This will allow CPFR to easily add vendors, consolidate reporting, and scale quickly.
- Multiple requests have been made to include Vendor Compliance and Transportation reporting in both email and VDS reports. We view this integration as a natural extension of our WBRs, current and future exception reporting, and to provide an end-to-end experience for stakeholders.
- After hundreds of vendors WBRs/JBPs and process reviews for inventory health, NOP exceptions, ASBO root-cause analyses, forward alerts, forecast reconciliations, reporting criteria, and vendor dashboard creation, a clear delineation has emerged for each vendor in each of these processes. Historically, CPFR has operated in isolation, scaling lessons learned directly with individual vendors. There is an opportunity to define best-in-class processes through SOPs and use cases that stakeholders can leverage at scale.
- We need a centralized location for stakeholders to access reports sent to vendors, SOP best practices, use cases examples, and internal dashboards. The Impact Command Center will unlock this.
- For unique processes where large-scale data sharing is not advisable, we need internal tools for stakeholders to use and share in alignment with CPFR. These tools will include dashboards for Forecast Accuracy, Forecast Alerts, Forecast Summary, NOP Exceptions, and more.

2024 Deliverables

The proposed deliverables are up for debate and are critically important to each vertical and the future of their vendor reporting. Many of these deliverables are time intensive and we want to ensure alignment before moving forward.

Launch upgraded email system. This initiative represents the most critical upgrade for CPFR, significantly enhancing our communication capabilities and overall efficiency. In 2024, we plan to add several more reports focusing on scorecards, operations, vendor compliance, and transportation. Given the limitations of our current email systems, Python and Knime, and the evolving needs of CPFR, we propose a company-wide email system that integrates all existing native email methods into a single platform (see Appendix 1.0 for details). The Email System Proposal is being reviewed with the UT&A team for feasibility guidance and it will be submitted to PM&A for BIE priority. Upon completion, the Data Steering Committee will convene to categorize the reports into appropriate Tiers, and it will be communicated across the company to determine the placement of each vendor. This new system will enable stakeholders to share more value-added reports, gain visibility into sent reports, and propose new ones for consideration. For the long-term vision of data sharing, see FAQ Q1.



Expand scope to Vendor Compliance and Transportation data. Stakeholders have requested the integration of vendor compliance and transportation data into the CPFR framework. This addition will enhance vendor collaboration by enabling investigations of chargeback drivers and recurring vendor distribution center issues, optimizing system communication, and developing SOPs for reporting and investigating impacts. Given the current vendor compliance reporting, 5 emailed reports, the first step is to consolidate our reporting structures into one email system (See above). By combining all external operational reporting under CPFR, we can report on end-to-end operations, design best-in-class processes, and create a comprehensive and efficient framework for monitoring and improving vendor performance.

Establish Best-In-Class CPFR Processes with SOPs. The CPFR program and team engage in several processes with vendors that include forecast reconciliation, WBR/JBP reporting, NOP and ASBO investigation, catalog reconciliation, inventory escalations and vendor dashboards. Based on our learnings, these processes have been enhanced with the release of VDS Premium dashboards, exception reporting, and stakeholder-generated native reporting. In 2024, we need to build the right tools and organizational SOPs to fully realize the potential of these processes. Also, we need bi-yearly touchpoints to review each process and determine if any more enhancements can be achieved. An initial roadmap of each process can be found in Appendix 1.2. By creating comprehensive tools, SOPs, and ensuring organizational visibility, we can socialize these processes with stakeholders, enabling them to utilize all or some of the developed resources effectively.

Establish Strategic Vendor Criteria and Develop a more in-depth Tiering System. Currently, there is an IMPACT tiering system in place called Strategic Vendors and it includes: Nestle, Mars, Royal Canin, Blue Buffalo, Hills, Smucker, and Wellness. This classification is determined based on factors such as size, analytical capability, and engagement levels. Throughout this two-year CPFR implementation, we frequently identified scenarios and processes that were scaled across all vendors. To better utilize the CPFR framework, we propose conducting bi-yearly assessments of vendor rankings within each process (see Appendix 1.3). This forum offers an opportunity to discuss vendor improvement areas and determine where CPFR should allocate its resources. Importantly, these assessments are not intended to criticize or judge stakeholders but rather to discuss what is working, what can be scaled, and what help or tools need to be developed. Looking ahead to 2024 and 2025, we envision the possibility of introducing an intermediate Tier group, positioned between the strategic and lowest levels.

Report Integration via the Impact Command Center (ICC). Currently, most Chewy stakeholders lack visibility into the reports vendors receive. To effectively manage the business, stakeholders need to know which reports are being sent, have access to these reports, and possess the ability to request updates as business needs evolve. While VDS Premium reports are accessible via the ICC, the emailed reports are not. The Email System Proposal framework will support the integration of emailed reports within the ICC. This integration is crucial as the ICC will become the centralized hub for data distribution, escalation tools, and reporting for vendor collaborations. CPFR/Team can develop a Universal Playbook to be referenced by internal stakeholders for daily business operations.

Advancing Insights with New Internal Tools. To fully capitalize on best-in-class processes, we need additional internal tools for stakeholders to leverage. In previous Chewy Data Committees, the team is not aligned on sharing certain metrics, such as forecast accuracy or historical inventory positions at scale. However, these metrics are shared on a vendor-by-vendor basis or if the vendor conducts the analytical work themselves. This has led planners to develop their own reporting and processes, with varying degrees of success depending on their expertise and knowledge. By creating internal tools designed for external sharing, we can standardize processes for planners and provide clear guidance on when and how to use them. This will ensure consistency and improve overall efficiency across the business. For instance, we are improving the Forecast Reconciliation process to facilitate long-term planning discussions, identify root causes, highlight insights into both short-term and long-term growth, and provide quick notifications of changes for immediate action (see Appendix 1.4). Additionally, the NOP Exception Reporting tool needs to be built for internal use. As we refine each process, we will assess the need for developing additional internal tools.

Optimize VDS Premium. CPFR launched on VDS in 2023, VDS Premium currently includes 39 vendors who have access to metrics such as inventory, fill-rate, autoship, PDPOOS, and more within the CPFR folder. Collaborations with stakeholders have highlighted the need to improve existing dashboards to align with business reporting and to incorporate new metrics currently shared manually. The goals for this platform are: 1) creating a centralized location for all operational reporting, 2) supporting WBR/JBP meetings, and 3) enabling vendor-owned insights and reporting. For a VDS Premium roadmap, refer to Appendix 1.6. As we advance these initiatives, we can create a universal SOP document for all VDS Premium stakeholders. This document will cover business reporting practices, frequently used features and tools, and alert mechanisms, ensuring everyone can fully leverage the platform's potential.

Expand VDS Direct content. Launched in 2022/2023, VDS Direct has provided significant benefits for operational efficiency. It allows vendors to integrate data directly into their databases, enabling their BIE teams to create dashboards for demand, production, and



supply planning. The current participating vendors are Nestle, Mars, Royal Canin, Blue Buffalo, Wellness and Hills (with Smucker's slated for a Fall launch). These vendors consistently highlight the importance and benefits of having data distributed directly into their databases. The benefit of this initiative can be seen in the numerous dashboards created by vendors (see Appendix 1.5). To further enhance this process, we have additional VDS Direct feeds in scope (see Appendix 1.6). When a vendor joins VDS Direct, we observe increased engagement from their organization, including merchandising, sales, IT, operations, and senior leaders, in CPFR and operational processes. This collaboration enables CPFR to work closely with their teams on data flow, tool usage, exception highlighting, and corresponding actions. Additionally, by introducing new VDS Direct feeds, we can assist Merch in selling this add-on to other vendors.

Merch Integration. As we continue to assess which reports will be included in CPFR, we see a future avenue to include some Merch reports (like the Brand Snapshot in Appendix 1.7). Last year, the VDS Lite Team collaborated with leaders to scope large-scale Merch vendor metrics for VPP. This initiative was shelved due to the current functionality of VPP. However, there is a potential path to include some or all these metrics within the future CPFR framework. Initially, the program will prioritize operational metrics, but around Q4, we can begin exploring Merch integration. Some of the best reports CPFR has seen combine Inventory, Vendor Compliance, Transportation, Forecast, and Merch data in one place, allowing all teams to act effectively.

Long-Term Vision

Establish the right systems and framework to accelerate insights through data sharing. This will enable stakeholders to share email data externally, including Drop-Ship and RX, using a streamlined and efficient system. The framework will allow stakeholders to review which reports are being sent, access those reports, and request new data. The CPFR program will integrate these reports into the Impact Command Center, along with SOPs for vendors and planners to leverage. Vendors will be ranked (1-3) based on their completion of the process, helping to identify engagement opportunities and the need for new tools based on specific nuances. The goal of CPFR is to advance vendors through this ranking system, thereby enhancing vendor collaboration, insights, and customer satisfaction.

For VDS vendors, all CPFR data sent via email is integrated into VDS Premium, making the VDS platform the centralized hub for stakeholders to access scorecards, data, and dashboards. Planners and vendors use this data in weekly conversations and business reviews. Once fully developed, a detailed SOP will be created on how vendors should leverage the data for insights, which will be shared with all VDS Premium stakeholders (like the VC Manual). For VPP, the CPFR program will define the data sharing structure and determine if the team will develop the necessary functionality.

Lastly, the primary customers of CPFR are the planners and vendors. By optimizing their experience, the CPFR program can improve location placement, protect autoship, decrease customer OOO, identify cost-driving anomalies, prioritize production, and seize opportunities for buy-ups, promotions, and price adjustments. CPFR will equip planners with SOPs and the necessary internal tools to facilitate process collaboration and leverage its full potential. The leadership committee will review each process biannually to identify potential modifications and ensure continuous process evolution.

FAQ:

What does the Tier structure look like in the short versus the long term? In the short term, there will be ~3-4 levels of data sharing. This arrangement is temporary until VDS Premium can be fully developed and deployed for Tier 1 data. Once VDS is deployed, there will be two levels of data sharing: one group receiving only forecasts, and another cohort receiving more comprehensive data. Ideally, the business will agree to merge these two groups, a decision that will be made in future deployment meetings. In the long term, this merged tier will be launched on VPP. However, if vendor segmentation is deemed necessary, the email system will be equipped to support it. The long-term goal of CPFR is to establish two levels of data sharing: VDS and VPP, contingent on organizational adoption.

***** Additionally, this system can accommodate unique data sharing for Drop-Ship and RX.

How do you see the Data Sharing Tier Structure initially going?

Tier 1 = Strategic Vendors. This is needed due to files like NOP raw data, ASBO, and future data pilots.

Tier 2 = Vendors getting the CPFR data (e.g inventory positions) but not the Pilot data.

Tier 3 = NEW - V1 proposal will be Forecast, PDPOOS, and Fill-Rate.

Tier 4 = Only Forecasts



Today, Tiers 1,2 and 4 exist. CPFR will present a new Tier 3 proposal once the new Email System is complete. There is an opportunity to scale essential metrics more broadly without releasing our inventory position. This would allow CPFR to send value-add data to hundreds of vendors not scoped to receive Tier 2 data. The end goal is to eventually combine Tiers 2, 3 and 4 into a single Tier to share data across the company on VPP. However, my assumption is only Tiers 3 and 4 will combine for broad VPP release because the business does not want to share inventory position broadly. If that is the case, there will always be a need to have the email system in place to send Tier 2 data.

What does this mean for Directors/Leaders?

Once the new email system is implemented in approximately 2-3 months, CPFR will convene a meeting to assess and determine the data sharing tier for around 100 vendors. These vendors will receive the corresponding data files and SOPs, and CPFR will collaborate with planners and vendors to ensure all expectations are clear. The emailed reports will be integrated into the ICC for stakeholders to access. Following this, CPFR will propose the release of new reports and discuss tier placements with the respective teams. We will continue to hold meetings with batches of vendors (100-200 at a time) to finalize tier placements across the entire business.

What is the role of the Chewy In-stock Manager (Planner)? Upon the launch of the system and SOPs, and their integration into the ICC, Chewy managers will have the necessary information to advance vendors where they perceive value. Not all vendors require these processes; the planner/team will determine if a vendor is suitable for more advanced collaboration. The CPFR program will map out all ~1,400 vendors and the ongoing processes based on the reports received. Subsequently, we will hold bi-annual meetings to showcase vendor advancements and review potential candidates based on business performance. The goal is to equip planners with the necessary data, reports, tools, and SOPs to optimize and increase efficiency. The CPFR program will conduct multiple vertical connects to gather input from stakeholders in Consumables, Healthcare, and Hardgoods to onboard and/or develop tools that help run the business effectively.

What are the timelines, deadlines, and roadmap to completion?

A detailed timeline can be found in the IMPACT Tracker.

What happens if we don't update the email system?

If we don't update the email system, CPFR will build the Tiered structure in Knime with Sandboxes. This would operate independently of our current mechanisms, complicating the integration of existing Vendor Compliance and Transportation reporting. Future enhancements would require Knime expertise, a skill not supported by our IT departments. Additionally, consolidating all data into the ICC would be challenging due to the different systems.

What happens if CPFR doesn't include VC and Transportation?

Vendors have repeatedly requested that CPFR expand into Vendor Compliance, seeking consolidated reports, new root-cause analysis reports, and VDS integration. If Vendor Compliance and Transportation remain separate, their respective teams will be responsible for advancing these initiatives. Additionally, a key component of the CPFR deliverables is to establish end-to-end reporting for WBR/JBPs. Excluding VC and Transportation prevents us from achieving best-in-class status.

What are the biggest obstacles?

With the launch of Socrates, the CPFR program loses Target inventory data. Previously, in SO99, vendors used Target to determine the amount of inventory Chewy wanted to hold, allowing the business to report on Gap to Target, Overage, and Chewy's trend over time. However, Socrates, a cost-based regional ordering system, does not use Targets in its order calculations. Multiple stakeholders have indicated that the current Socrates Target (SS + 1-week of demand) data does not help them predict orders accurately. This has led to vendors putting us on allocation (channel managing) because orders are too high. In these scenarios, vendors are relying on CPFR data to ensure a healthy Days of Supply. Last week, the Replen team heard from Mars and agreed that a more dynamic signal is needed to meet the business's needs. The request is for CPFR and Mars to share examples for the Replen team to investigate. For a full assessment of Socrates and CPFR, see Appendix 2.1.



Appendix 1.0 – New Email System

System Requirements:

- Automate all Operational, Vendor Compliance, and Transportation metrics being sent through email.
- Easily add new reports or data modifications.
- Easily add vendors to reports.
- Chewy stakeholders have access to the reports sent to vendors.
- Use a universally supported code language at Chewy. (e.g. NOT Knime)
- Run from either Parent Company or Vendor Number (Current CPFR Python has this).
- Send Tableau reports
- Functionality to combine into a workbook or send standalone files (Current CPFR Knime has this).
- Code separation. Don't risk the entire tool failing if an update goes wrong or a report needs to be added. Break the code into separate modules based on report.

Proposed System (short term 1-2 years):

The initial system being scouted is Python. Once the code is developed, it can be loaded to GitHub for automation. To make this work, we will need 2 Sandboxes:

- Tiers
- Vendor Assignment and Email (short-term)

Tiers:

Sandbox 1											
Tier	CPFR Report	Forecast Report	ASBO Report	NOP Raw data	NOP Exception Reporting	Catalog Details	Vendor Compliance	Fill-Rate/PDPOOS	Scorecard Report	On-Time Report	PO Details
1	X	X	X	X	X	X	X	X	X	X	X
2	X	X					X	TBD	TBD	TBD	TBD
3		X					X				
4		X				X	X	X	X		

Vendor Assignment and Email:

Sandbox 2		
Vendor	Tier	Email
Nestle	1	nnelson2@chewy.com
Mars	1	nnelson2@chewy.com
RX	3	nnelson2@chewy.com

How it works:

With these protected sandboxes, the business can determine what reports belong in each Tier. Anytime a vendor needs to be added or changed, CPFR only needs to input the Vendor, Tier and Email. It enables the ICC to draw from the sandboxes, constructing a "reports sent" dashboard and making each report accessible within the ICC. Each report sent externally will be accompanied by a document with data definitions and SOPs to ensure alignment.

Furthermore, CPFR wants the option to consolidate the reports into a unified workbook. This current feature of CPFR streamlines vendor operations by eliminating the need to open multiple reports, several of which complement each other.

CRITICAL – Hundreds of vendors are in-scope to receive more than just forecasts. A subset of scalable metrics can provide additional insights, including Fill-Rate%, PDPOOS%, Catalog Details, and Operational Scorecards. These metrics enable vendors to quickly identify underperforming SKUs before customers are impacted, escalate, and determine root causes when customer impact occurs, and maintain catalog visibility for VPP escalations (already being shared within VPP).



Appendix 1.1 – Current Reporting System

The current CPFR reporting is implemented with Python and Knime. In our last leadership committee, the CPFR program informed leadership it wanted to combine all the reports into a single workbook. To test this approach, the CPFR program transitioned Tier 1 to the Knime platform which combined all the reports into a single workbook. The planner and vendor partners greatly appreciated this approach because all the data is in a centralized location and easy to access. A big reason for this initiative was to unlock waterfall reporting.

Waterfall Reporting: This approach can be applied to nearly all metrics. CPFR reporting begins with Scorecards and Trends that highlight business disruptions. Stakeholders can then delve into subsequent reports to pinpoint the drivers for investigation. For example, in NOP Exception Reporting, a vendor can identify the SKU/FC causing the largest disruptions due to low fill rates. They can then determine which POs have been short-shipped or deleted for further investigation. By consolidating all information into a single workbook, vendors can quickly access the necessary data to investigate and address issues.

Current Reports								
Tier	SKU CPFR	SKU/FC Inventory	SKU Forecast	SKU/FC Forecast	NOP Raw Data	NOP Exception Reporting	ASBO	Catalog Details
1	X	X	X	X	X	X	X	X
2	X		X					
3			X					

Current Report Structure	
Report	VDS Roadblocks
SKU CPFR	Socrates Target and Forecast
SKU/FC Inventory	Socrates Target and Forecast
SKU Forecast	Socrates Target and Forecast
SKU/FC Forecast	Socrates Target and Forecast
NOP Raw Data	Sandbox
NOP Exception Reporting	Sandbox and BIE
ASBO	Sandbox and False ASBO
Catalog Details	In-Progress

Appendix 1.2 – CPFR Processes

Processes	Description	Leader
Forecast Reconciliation (Jenn V)	We need an end-to-end process for Forecast Collaboration. This includes forecast reconciliation, forecast JBPs and long-term planning, performance metrics, and new SKU reporting.	All Strategic Vendors
Weekly Business Reporting	Weekly business reviews serve as a regular organizational update to all stakeholders (Supply, Merch, Ops). These reviews cover business status, follow-ups, escalations, and relevant content. Key benefits include: 1) vendor-owned insights, 2) tracking of CPFR callouts, and 3) automation.	Nestle
NOP	The raw NOP data is extensive and complex. CPFR utilizes tools like NOP Exception Reporting to highlight examples requiring investigation. Vendors agree to the criteria and report actions weekly. A clear workflow is needed for internal vs. external NOP.	Mars
ASBO	Reporting involves identifying and mitigating issues for AS customers, as well as using data to escalate suggestions on ASR flags due to upcoming OOO.	Nestle/Blue Buffalo
Catalog Reconciliation (Henry B)	We need an end-to-end process for catalog reconciliation. This should include alerts for high MOQs and other catalog discrepancies causing issues. It will align with the VPP process for change requests. During weekly and monthly alignment, we will ensure consistency in our catalog of SKUs, verify correct attributes, and review any upcoming changes.	Blue Buffalo



Vendor Dashboards	Leveraging vendor-owned dashboards for demand, production, and supply planning offers a competitive advantage. While some vendors are more advanced than others, this integration is crucial as these dashboards are tools stakeholders use to make informed changes. CPFR supports vendors by providing coaching and examples to help them develop comprehensive dashboards.	Mars/Nestle
Vendor Inventory Escalation	The top CPFR vendors highlight issues such as production gaps, increased competitor ordering, and raw material constraints. They convey the situation to Chewy stakeholders, who then determine if ASR settings need adjustments, if a manual PO is required, or if communication about customer demand shifts is necessary.	Blue Buffalo
Vendor Compliance Reporting (TBD)	TBD	TBD

Appendix 1.3 – Bi-Yearly Rankings

CPFR proposes bi-yearly meetings to review processes, identify top performers, and explore scaling successful practices to other vendors. The purpose of these meetings is to determine if best practices can be applied across different portfolios. This initiative will help establish a roadmap for new dashboards or tools, aiming to achieve best-in-class performance for all vendors.

This is only an example:

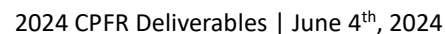
Processes	Nestle	Mars	Blue Buffalo	Royal Canin	Hills	Smucker	WellPet
Forecast Reconciliation	3	3	3	3	3	3	2
Weekly Business Reporting	3	2	2	2	2	2	1
NOP	2	3	3	3	1(just started)	1	1
ASBO	2	2	2	2	1 (just started)	2	2
Catalog Reconciliation	2	2	2	2	2	1	1
Vendor Dashboards	3	3	2	2	1-2	3	2
Vendor Inventory Escalation (TBD)	2	2	3	2	2	2	2
Vendor Compliance Reporting (TBD)	TBD	TBD	TBD	TBD	TBD	TBD	TBD

Appendix 1.4 – Internal Dashboards

CPFR is collaborating with Jenn/Tom/Mike on the proposal paper for the Forecast Process. This includes both current and new tools to support Jenn/Team in ongoing value-add conversations. The initial deployment of these dashboards will be limited to a few key vendor partners. As we test and refine the process, we will determine the best approach for broader expansion. We will share this paper with this leadership team in the next month and outline the process, tools and controls in place to ensure this is a successful venture.

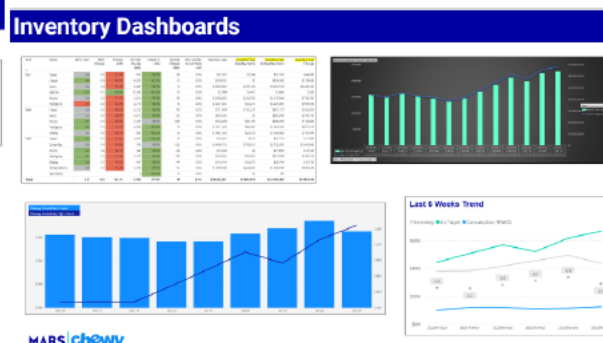


Additionally, CPFR has been manually sharing NOP Exception Reporting with five vendors for a year. This report has resolved significant issues (100k+ NOP units) by providing multiple data points that enable quick investigation by vendors and planners. There have been numerous requests to integrate this report into an internal tool. Planners would be able to set filters, such as excluding Discontinued and Assortment items, and identifying cases where the FC Fill Rate is 20% below the Network Fill Rate, despite having a healthy DOS. This scenario suggests that supply is adequate, but a specific FC/DC is experiencing issues. Also, they can see repeat offenders that continually impact our Network.



Priority	Tool	ETA
1	NOP Exception Reporting	8-1
2	Historical WoW Scorecard	8-1
3	Master Catalog	9-1
4	Forecast Scorecard	9-1
5	Forecast Performance	9-1

Here are few examples of the dashboards created by vendors for supply and demand planning. These are used daily/weekly by vendor stakeholders to run the Chewy business.





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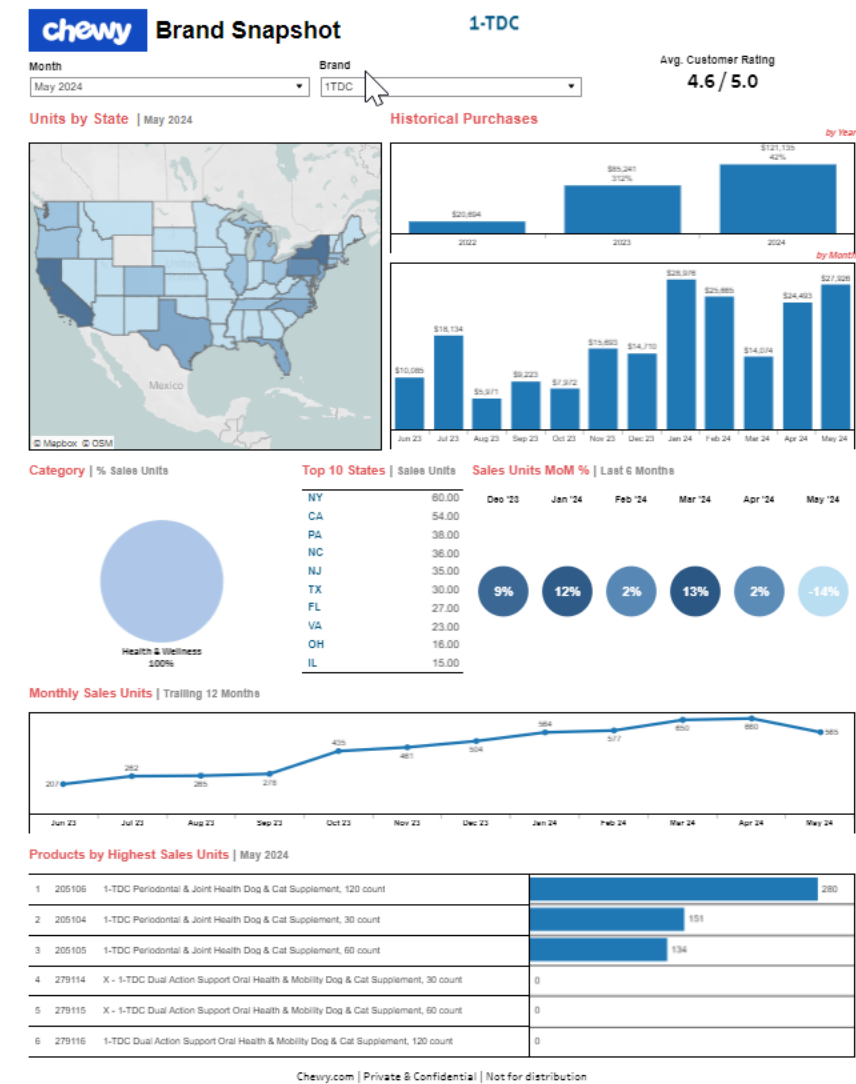
VDS Premium				
Priority	Description	Benefit	Roadblock	ETA
1	Replace VDS Direct Forecast for Socrates Data	Updates our current VDS dashboards with Socrates data		7-1
2	Replace VDS Direct Target for Socrates Data		Socrates Target is being debated	CPFR is removing SO99 Target in the short-term
3	Replace VDS Premium Forecast for Socrates Data			8-1
4	Replace VDS Premium Target for Socrates Data		Socrates Target is being debated	CPFR is removing SO99 Target in the short-term
5	Launch WoW/MoM changes for Fill-Rate and PDPOOS			8-1
6	Launch Fill-Rate view for WBR	Easily see each week and the changes - matches several WBR reports		9-1
7	SKU/FC Fill-Rate			9-1
8	Operational Scorecard	Overview of business		10-1
9	Launch ASBO dashboard		Sandbox and false positives	TBD
10	Launch NOP dashboard		Sandbox	TBD
11	On-Time			TBD
12	Vendor Compliance			TBD



VDS Direct			
Priority	Description	Description	Roadblock
1	Catalog Details	Add to the current Merch feed	Some metrics - Losing table with Socrates
2	NOP	Brand new VDS Direct Feed for raw data	Data is only in a Sandbox - Need to get to production table
3	ASBO	Add to the current Merch feed	Data is only in a Sandbox - Need to get to production table
4	PO Details	All open POs. Possibly rank in priority based on OOO and NOP (pending steering committee)	Pending Steering Committee
5	Vendor Compliance	TBD - Working to understand possible feeds	

Appendix 1.7 – Merch Brand Snapshot

Vendors request this report via VPP, and the Merch counterpart will send it. CPFR is looking to include this and others in the reporting structure. This will require our systems to have the capabilities to send Tableau reports.





Appendix 1.8 – System Breakdown

This is a complex topic because CPFR needs to consider the VDS offering carefully. We must ensure that the paid VDS service is appropriately positioned to retain existing customers and attract new ones. Therefore, using another system like ThoughtSpot to share data and dashboards centrally is not advisable. While ThoughtSpot offers the functionality, dashboards, and collaboration tools that could enhance CPFR, it should not come at the expense of losing paying VDS customers. Therefore, the CPFR program has been investigating other systems that will support not only data share, but also Tableau dashboards to the masses.

Many vendors lack the systems and analytical expertise to create and share dashboards. Dashboards are crucial as they enhance understanding, save time by providing quick insights, integrate seamlessly into business reporting, and foster increased collaboration. The CPFR program wants to scale certain dashboards to the larger vendor base. However, to do so, we need a system that supports sending of Tableau reports within the CPFR framework. We are exploring different systems that might support this email functionality.

One such system is Alteryx, which would enable CPFR to send operational data and Tableau dashboards in a single email. However, this widely used platform is not adopted within the Chewy organization. We will continue to search for a system that meets our needs and supports this functionality.

Appendix 1.9 – Vendor Compliance Consolidation

Table 1: Vendor Reporting Consolidation Roadmap

Vendor Reporting Consolidation					
Step	Task	Details/Requirements List	Resources Needed?	Stakeholders	Owner(s)
1	Integrate Vendor Compliance Reporting	1. Integrate granular VC Data in active CPFR data share 2. Ensure all vendor facing reports are fully automated for all Chewy verticals (Core, Rx, Canada) 3. Partner with VDS/VPP to integrate dashboards for vendor self service 4. Partner with Colton to integrate dashboards in IMPACT Command Center for internal self-service	Yes, BIE Support	PM&A Planning MSS	Zach S Nathan N Chris P Jeff R (VPP)
2	Integrate Vendor Chargeback Reporting	1. Integrate granular CB Data in active CPFR data share 2. Build new dashboards for CB reporting for both internal, external self service 3. Partner with VDS/VPP to integrate dashboards for vendor self service 4. Partner with Colton to integrate dashboards in IMPACT Command Center for internal self-service	Yes, BIE Support	PM&A LITE Team MSS	Zach S Adrienne B Nathan N Chris L (LITE) Jeff R (MSS)
3	Standardize Vendor Triage	1. Document different types of vendor inquiries/escalations 2. Build RACI for the different vendor escalations to drive accountability, ensure SLAs 3. Obtain alignment across SP, Merch, Trans, FCOps on ownership of vendor escalations	No	PM&A SP Merch Trans FCOps	Adrienne B Chris P Nathan N
4	Simplify Vendor Engagement	1. Partner with MSS to reinforce Oracle Ticketing process for vendor outreach, creating scalable tracking mechanisms and getting vendor follow up out of email format. 2. Partner with MSS to build any incremental workflows to ensure proper ticket routing 3. Incorporate ticket reporting within internal dashboarding to ensure SLAs, track trends, etc.	No	PM&A MSS	Adrienne B Chris P Jewel L (MSS)

Appendix 2.0 – Vendor Survey Responses (Past)

Successes

Nestle – “CPFR is crucial to our success in servicing the Chewy business and aligning our production. YTD fill rate **improvement of 19%**, PDP In stock improvement from **6% down to 0.66%**, NOP% reduction from **15% down to 3%**. CPFR is crucial to our success in servicing the Chewy business and aligning our production. Continued buildout of key metrics and additional metrics into dashboards will drive further insight and quicker action to improve service.”

Mars – “NOP (non-optimal placement) has reduced from **10% to < 2%**. PDPOOS has improved to **less than 1%**. Forecasting bias has **decreased to <5%**. Fill rate has improved as well (**for multiple reasons**) to **90%+**. Overall, the level of partnership in the CPFR space is extremely high. We see the continued value in driving conversations and actions in the CPFR space and think that it is a critical component to delivering business results! The CPFR data and collaboration from Chewy is top notch. I have not worked with another customer who communicates better or provides more data or insights than Chewy!”

Smucker – “Forecasting has improved with CPFR data. Understanding forward looking forecast as well as calculating excess inventory has helped to reduce forecast variance between Chewy and JMS. Forecast variance has **decreased from 10-20% to 5-10%** consistently.”

Hill's – “The forecast review meetings we are starting to have between the teams will be beneficial to both parties. We have a great partnership and the information we share between companies is valuable to our demand planners, production planners, and our inventory strategies.”

Blue Buffalo - “Chewy is in the top tier of retailers in regard to CPFR collaboration with suppliers. The amount of data shared is robust, and consistent collaboration is best in class. There are some retailers that provide more advanced data that helps us proactively support the business. Our internal forecast accuracy for **Chewy is >5%**, **fill rate is 78%**, **Chewy NOP is under 2%**.”



Royal Canin – “Having visibility to Chewy inventory and inventory targets has allowed us to work back internally with our demand and supply planning partners to prioritize recovery on needed items with much more **precise accuracy** by being able to quantify the actual need.”

WellPet – “PDP OOS went from over **4% in early 2022 to below 1%** from Aug 2022 to present. Chewy CPFR excels above all other customers.”

Improvement Areas

Nestle – “We require a long lead time from a production standpoint at Nestle Purina. The earliest visibility (up to 10 weeks) we can have to demand increases the better. Main improvements would be adding metrics around **NOP, ASBO, and on time shipment metrics in a Direct feed.**”

Mars - “**Provide transportation KPIs (product in transit, CPU delivery)** and Ordering forecast (and deviations from consumption forecast. When the future CPFR forecast/consumption forecast does change/deviate from prior report outs, is there a way we can be notified of either changes or adjustments to the forecast? That can help trigger a conversation between the Chewy and MARS CPFR groups. Other customers have provided **DOS/WOS target calculations** to help make sure their suppliers are looking at the KPIs in the same perspective.”

Smucker – “As previously mentioned, **incorporating CPFR into VDS** to have a one stop shop for all data. Order volumes rarely align with demand forecast. Having some sort of order forecast or greater visibility to when Chewy is **adjusting OH inventory targets** would be helpful.”

Hills - “1) Would like more location level data, especially history “**re-aligned**” to location level. This would help me **reduce NOP**. 2) **Visibility to auto ship impact** will help us prioritize keeping auto ship intact. 3) We would generally like all data (consumption/POS, inventory, forecast) at the lowest level (sku-location) to help integrate into our planning system to drive **right product, right place, right time**.”

Blue Buffalo – “The challenges we have with Chewy are trying to shift from reactive to proactive service mitigation. Chewy is a significant portion of our total volume and can have a large impact on our performance overall. **Having advanced visibility to future order demand, future inventory target adjustments**, etc will help us service the business. Two main areas for improvement: 1) sharing data that suppliers can use directly without having to enhance / manipulate (eg Order vs POS forecast); 2) a few Customers have more **robust internal metrics available / monitored** that improve operations & visibility.

Royal Canin – “Very effective, but the **increase in inventory targets on constrained items** increases Chewy's order quantities to unrealistic numbers and can have a negative impact on our supply chain. We could collaborate on building more **visual dashboards for MBR/QBR reviews, and better exception-style flags** to quickly identify issues/outliers. As Royal Canin dives deeper into CPFR, using the raw NOP data will only benefit us as I know there are learnings we can take away from Mars Petcare. A higher level of data integration into dashboards with exception style reporting would also be beneficial.”

WellPet – “This is one key area of improvement. Our team is still trying to understand the fluctuations in Target Inventory so we can plan accordingly. Provide dollarized (in COGS \$s) for On Hand and Target Inventory. It can be a hassle for manufacturer to convert Units to Dollars, but Dollars are the language we speak. Also, include Historical Inventory, On Hand and Target.”

Appendix 2.1 – CPFR in a Socrates World

What is CPFR sharing that is impacted by Socrates?

The 2 impacted metrics are Target Inventory and Forecast.

Why are these important?

SO99 Target Inventory serves as a tool to communicate the average inventory level needed, factoring in safety stock, demand, lead time, and MOQ, necessary to meet customer demand. This provides vendors with an estimation of the inventory Chewy aims to maintain, aiding them in assessing their production and stocking requirements. The business can communicate Gap to Target, Overage, and Trends which allows the vendor to make production prioritization decisions.

Forecasts offer insight into expected demand, enabling coordinated efforts to optimize production and supply chain operations. In CPFR, we need to share SKU/FC forecasts with vendors having multiple DC ship points. This facilitates the segmentation of ship point forecasts based on respective DCs, aiding in the creation of tailored production plans.

What are the new data signals available in Socrates?

- **Socrates Target.** The Socrates Target is defined as Safety Stock plus one week of demand.
- **Safety Stock.** Safety stock given the respective system (SO99 or Aristotle).
- **Purchase Forecast.** Socrates is producing a Purchase forecast by week.



- **Post Dreamweaver Forecast.** SKU level forecasts post Dreamweaver (Only in Sandboxes).
- **Kepler Forecast.** Logic that takes the Post Dreamweaver Forecast and creates SKU/FC forecast.

What will CPFR use in the short-term?

Socrates Target. The Socrates Target is currently being manually sent by CPFR through interim files. However, since Socrates does not use this metric for ordering decisions, we have requested the Replen Team create a more dynamic target for vendors to use in their planning.

Kepler Forecast. CPFR is transitioning to using Kepler output to communicate SKU/FC and SKU level forecasts in VDS. Currently, this is only live for 14 vendors. CPFR requested all VDS Premium vendors be transitioned to Kepler to support the re-launch of dashboards.

Post Dreamweaver Forecast. CPFR will send the 3-month forecast using the Post Dreamweaver Sandbox to all vendors transitioning to Socrates. I'm only able to email this data because it's only in a Sandbox. For VDS, I'll be using Kepler.

***Note – The Post Dreamweaver Snowflake tables for Forecast at SKU level are in Sandboxes. CPFR is unable to use these in VDS. The process to convert the data from Sandbox to Production is cumbersome. Therefore, CPFR chose to use the Kepler Production forecast and request vendors be onboarded.

What might CPFR use in the long-term?

Purchase Forecast. In the future, we aim to share the Purchase Forecast, provided it proves reliable. We have requested the Replen Team evaluate the weekly accuracy of the purchase forecast. This task is on their roadmap, but there is no timeline for its completion. Before we can discuss sharing this data, we need to ensure its accuracy meets our desired threshold. An ad hoc analysis of Smucker's data revealed an accuracy of less than 20%.

Key Callouts:

- Based on planner and vendor anecdotes, CPFR choose to share Socrates Target rather than Safety Stock in the interim.
- The VDS reports will be updated next month to exclude Target Inventory. CPFR will share the Socrates Target in manual files. The Replen team needs to provide guidance on whether a new signal will be developed.
- CPFR is releasing a new VDS Direct Feed to replace the SO99 SKU/FC forecast with Kepler in 1-3 weeks. Once this feed is finalized, I can update the VDS Premium dashboards to include the correct DOS based on the new forecast. At that time, the Target inventory will be removed.

Next Steps:

- Mars/Team are sending the Replen Team examples of where Socrates is ordering well above Socrates Target and/or traditional ordering levels. They will provide examples where the ordering volatility is causing production and stocking complications.
- CPFR/Team will discuss the signals in the next Replen call to determine next steps.
- CPFR/Team are postponing conversations on Gap to Target and Overage until teams are aligned.